

Georgia Geopolitical Positioning

Georgia, South Caucasus

SIGNAL

Georgia is deepening ties with China and Iran as new vectors in its multi-directional foreign policy while the US reset becomes contested by Congress, accelerating a strategic drift away from Western alignment.

FRACTURE

GD's regime survival doctrine has expanded to embrace China and Iran as hedges against Western conditionality, but this is generating congressional pushback (HR 7668) that may foreclose the US reset entirely.

Georgia's strategic drift will accelerate over the next 18 months as deepening China and Iran ties supersede the contested US reset, without triggering a definitive break from any major power.

75%

PROBABILITY

TARGET: DECEMBER 2027

CONFIDENCE: MEDIUM

WHAT'S NEW

- **China-Georgia comprehensive strategic partnership signed (June 9):** Xi Jinping and President Kavelashvili upgraded bilateral relations the day after the US House passed HR 7668. Kobakhidze called China "the only peaceful superpower" and dismissed the US partnership as "only on paper." 14 agreements signed since 2023, 6 more pending. Trade grew 45% YoY Jan-Apr 2026.
- **US House passes HR 7668 "Countering China's Control of the Caucasus Act" (June 8):** Bipartisan, fast-tracked bill mandating a classified report on Russian/Chinese intelligence assets in Georgia and a 5-year US strategy. Anaklia deep-water port (Chinese consortium over US company) cited as key concern. Bill now moves to Senate. Rubio expressed "serious concerns" about Chinese influence.
- **Iran influence revelations (June):** RFE/RL and Eurasia Review documented systematic Iranian expansion: nearly 13,000 Iranian companies registered in Georgia (many to phantom addresses), sanctions evasion at scale. Hudson Institute report triggered Kobakhidze threats against its co-author. Iran now a major new friction point in US-Georgia relations.
- **Kobakhidze Central Asia diplomatic pivot (June 19):** First-ever Georgian PM visit to Tajikistan; 11 bilateral documents signed including a Joint Intergovernmental Commission on Economic Cooperation. Followed earlier visit to Kyrgyzstan. Georgia repositioning as bridge between Central Asia, South Caucasus, Turkey, and Europe.

- **Zurabishvili's Washington warning (June 16):** Former President warns West risks "giving away" Georgia to Moscow. Describes Georgia as emerging "gray zone" – 100+ weekly flights to Russia, shadow fleet vessels in Georgian ports, unregulated cryptocurrency. Warns GD confidence eroding; snap elections possible.
- **Turkey-Armenia direct trade resumes (June):** After 33-year freeze. Reshapes South Caucasus economic geography; could reduce Georgia's transit monopoly.
- **Armenia-US TRIPP finalized (June):** Pashinyan's Civil Contract won 49.8% in parliamentary elections; TRIPP ready for ratification. Deepens contrast between Armenia's westward trajectory and Georgia's drift.
- **GD creates "hate speech" department (June):** New Interior Ministry unit to monitor social media and prosecute alleged offenders. Critics see it as censorship mechanism. Georgia described as experiencing "one of the most rapid deteriorations of press freedom ever seen in an EU candidate country."
- **EU fading power analysis (SCEEUS, June):** EU structural weaknesses in the South Caucasus documented. Region now "competitive multipolarity" with Turkey, China, Gulf states all exerting influence. EU sidelined as US brokered Armenia-Azerbaijan peace.
- **Georgian wine as geopolitical leverage (Forbes, June):** Russia buys 60-65% of Georgia's wine exports. 2025 excise tax increases caused 15.8% export drop. Historical precedent of 2006 embargo (50% export loss). Wine industry exemplifies Georgia's broader vulnerability to Russian economic coercion.
- **Azerbaijan-Türkiye-Georgia trilateral (June):** 10th trilateral foreign ministers meeting in Istanbul. New regional connectivity logic: China-Central Asia-Europe via Azerbaijan, Georgia, Turkey.
- **UK-sanctioned Russian shadow fleet vessel at Kulevi Port (February 2026, reported June):** Georgia claimed vessel "was not subject to sanctions" at the time. Suggests GD may not be upholding sanctions commitments.

ANALYSIS

POLITICAL

The dominant development since the last report is the dramatic escalation of US-Georgia tensions triggered by the China pivot. The sequence was textbook regime survival doctrine in action: US House passes HR 7668 targeting Chinese influence → Kobakhidze signs comprehensive strategic partnership with China the next day → dismisses US concerns as treating Georgia like "a schoolboy who can be held back."

This is not a clean break. Kobakhidze is still having "specific conversations" with the Trump administration. The State Department delegation visits (two in May) continue. But the reset has become visibly contested – Congress is moving toward conditionality (intelligence assessment, 5-year strategy review) while the executive branch pursues

engagement. The National Interest analysis captured the Washington debate: normalizing GD without behavioral change would be "strategic self-sabotage."

The Iran vector adds a qualitatively new dimension. Previous reports focused on Russia, China, and the US as Georgia's primary external interlocutors. Iran's emergence – with 13,000 companies, sanctions evasion infrastructure, and political influence at the highest levels – creates a new friction point that Washington views through a national security lens rather than a democracy-promotion or strategic-competition lens. The Hudson Institute report and Kobakhidze's threatening response toward its co-author signal that GD is willing to defend this vector aggressively.

Zurabishvili's Washington interview (June 16) is the most consequential voice from Georgia's pro-Western camp. Her framing – Georgia as emerging "gray zone," GD foreign policy shaped by "what Russia would tolerate," snap elections possible – provides Washington with a counter-narrative to GD's reset rhetoric. Her receipt of the Freedom House 2026 Mark Palmer Prize amplifies her platform.

The domestic trajectory continues to deteriorate. The new "hate speech" Interior Ministry department formalizes what was previously ad hoc social media suppression. Combined with the April 2025 Foreign Agents Registration Act (criminal penalties up to 5 years prison) and the Broadcasting Law (ban on all foreign funding), GD has constructed a comprehensive architecture of information control. The PRIF analysis documents how GD captured EU transparency norms to build repressive media laws – the EU's formal conditionality has been neutralized.

The contrast with Armenia sharpens weekly. Pashinyan won reelection (49.8%), TRIPP was finalized, the EU launched visa liberalization and an EUPM mission, and Turkey-Armenia direct trade resumed. Armenia is moving westward while Georgia drifts – and the divergence is increasingly visible to both Washington and Brussels.

ECONOMIC

Georgia's economy continues to perform well (10.7% YoY GDP growth in March 2026, 9.1% Q1 average), driven by its transit hub role, ICT, construction, and logistics. This economic momentum gives GD confidence that it can sustain its political trajectory without immediate economic consequences.

The China economic relationship is deepening rapidly: trade grew 45% YoY (Jan-Apr 2026), China is now Georgia's 3rd largest trading partner and 2nd in exports. The comprehensive strategic partnership signed June 9 formalizes what was already accelerating. But The Diplomat's analysis raises an important caution: Anaklia deep-water port – the flagship Chinese infrastructure project – "has yet to leave port." China is not yet a significant driver of Georgia's tourism economy. The partnership may be a louder signal than substantive commitment from Beijing's side.

The Kobakhidze Central Asia pivot (Tajikistan, June 19; Kyrgyzstan, earlier in June) adds an economic dimension to Georgia's diplomatic diversification. Eleven documents signed with Tajikistan. The strategic logic is clear: link the China-Kyrgyzstan-Uzbekistan railway with Black Sea routes via Georgia. But this is aspirational – the infrastructure

does not yet exist, and Central Asian cargo volumes through Georgia are minimal. The visits signal intent more than immediate economic returns.

The Forbes wine analysis documents a structural economic vulnerability: Russia buys 60-65% of Georgia's wine exports. Russia's 2025 excise tax increases caused a 15.8% export drop (24% decline in Russia-bound shipments). The historical precedent is clear: the 2006 embargo caused a 50% export loss, and dependency was rebuilt to 66% by 2024. The US market is growing (15.5% CAGR) but cannot absorb the Russian shortfall. This pattern – dependency, coercion, diversification attempt, dependency rebuild – is a microcosm of Georgia's broader geopolitical vulnerability.

The Azerbaijan-Türkiye-Georgia trilateral (10th meeting, Istanbul) reinforces Georgia's transit corridor value. The Baku-Tbilisi-Kars railway reopened June 2, restoring daily passenger service. The Turkey-Georgia electricity barter arrangement adds an energy dimension. These economic ties with Turkey and Azerbaijan provide Georgia with non-Western economic anchors that sustain it through political isolation.

The shadow fleet incident (UK-sanctioned Russian vessel at Kulevi Port, February 2026) is a warning sign. If Georgia becomes a sanctions-evasion hub – for Russian shadow fleet vessels, for Iranian companies, for unregulated cryptocurrency – it risks secondary sanctions that would directly impact its economy, regardless of GD's political preferences.

| MILITARY

No significant changes in the military dimension since the last report. Russia's occupation of 20% of Georgian territory remains the defining military fact. GD continues its deliberate demilitarization of the Western alignment – no NATO exercises, no military cooperation with Ukraine, no reintegration rhetoric. Russia's creeping borderization continues in Abkhazia and South Ossetia.

The US reset has not included any visible security component. The NDAA amendments approved by the House Armed Services Committee (on political prisoners and Russian/Chinese intelligence operations) suggest that Congress, not the executive branch, is driving the security dimension of US-Georgia policy.

The military balance heavily favors Russia, and GD's caution is driven by the fear of becoming "a second Ukraine." Zurabishvili's analysis – that GD foreign policy is shaped by "what Russia would tolerate" – frames this as deference rather than deterrence. The distinction matters: if GD is deferring to Russian preferences, its room for maneuver is narrower than if it were pursuing an independent course.

| TECHNOLOGICAL

The ICT sector continues to grow as part of Georgia's economic success. But the technological dimension of Georgia's geopolitical positioning is increasingly dominated by US-China competition concerns. Chinese tech investment (potential 5G infrastructure, surveillance systems, port digital infrastructure) is a concern for Washington that HR 7668 explicitly addresses. The new "hate speech" Interior Ministry department – which

critics argue will monitor social media – adds a domestic surveillance dimension that may intersect with Chinese technology procurement.

The shadow fleet and sanctions-evasion concerns also have a technological dimension: unregulated cryptocurrency activity in Georgia, as flagged by Zurabishvili, represents a regulatory gap that could attract both legitimate fintech and illicit finance. The more Georgia becomes a "gray zone" for financial oversight, the harder it becomes for Western institutions to engage constructively.

WATCH INDICATORS

- China-Georgia strategic partnership implementation – specific agreements, infrastructure starts, energy deals
- US Senate action on HR 7668 and NDAA amendments – whether Congress escalates conditionality
- Iranian sanctions-evasion activity in Georgia – US Treasury response, further investigations
- GD domestic repression escalations – new legislation, protest crackdowns, opposition prosecutions
- Snap election signals – GD internal fractures, Ivanishvili health/positioning, Zurabishvili's warning indicators
- Russia-Georgia economic developments – wine trade, energy dependence, sanctions compliance at ports
- EU response to Georgia's drift – potential suspension of candidate status, visa measures, funding decisions

PROBABILITY TRIGGERS

EVENT	DIRECTION
US Senate passes HR 7668 with strengthened conditionality provisions	Up
China begins substantive Anaklia port construction or announces major new Georgia investment	Up
EU formally suspends Georgia's candidate status	Up
GD releases political prisoners or repeals foreign agents law in response to US pressure	Down
Snap elections called; pro-Western opposition gains significant ground	Down
	Down

EVENT	DIRECTION
US announces new security or economic commitment to Georgia (beyond current reset)	
Russia formalizes a new security or economic arrangement with Georgia	Up
Secondary sanctions imposed on Georgian entities for Russia/Iran sanctions evasion	Up

KEY SOURCES

1. SovaNews: Pivot to China – US Concerned Over PRC Influence in Georgia
2. RFE/RL: US House Passes Georgia Bill Targeting Russian, Chinese Influence
3. Civil.ge: Kobakhidze Praises Strategic Partnership with China as 'Exemplary'
4. RFE/RL: Georgia's Iran Embrace Is Costing It Washington
5. SCEEUS: Fading Power? The EU's Strategic Dilemmas in the South Caucasus
6. RFE/RL: Former President Zurabishvili Appeals For Renewed US Attention
7. The National Interest: Why Georgia's Rulers Are Not America's Friends
8. Georgia Today: Georgia and the Battle for Eurasian Connectivity
9. Eurasianet: As Georgians back West, their leaders lean East – polling data
10. Forbes: Georgian Wine Is Caught Between Russia And The West
11. PRIF Blog: When EU Norms Become Political Weapons – Media Freedom in Georgia
12. The Diplomat: Georgia's Upgraded Partnership With China – A Louder Signal, An Empty Promise
13. commonspace.eu: Georgia – U.S. Talks and New Hate Speech Law
14. Facebook/dsx.tj: Georgia's First High-Level Visit to Tajikistan
15. Caspian Post: Azerbaijan, Türkiye, and Georgia Reshape the South Caucasus
16. Carnegie Endowment: What Does Pashinyan's Victory Mean for Armenia
17. Eurasia Review: Georgia's Iranian Turn

This free Watch Report is provided by IScann Group for informational and strategic awareness purposes only. It is not legal, investment, security, or government advice. Assessments are probabilistic and may change as new information becomes available.

This report was generated on 2026-07-02 based on open-source reporting available as of 2026-07-02. The probability reflects IScann Group's analytic judgment, not a statistical model, unless otherwise stated. Sources 11-32 were added to the wiki between June 4 and July 2, 2026. This is the third watch report for the Georgia topic. The next review is scheduled for 2026-08-01.